

Flexi-cap investing: A dynamic approach to generating long-term value



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In a dynamically growing equity market such as India, investors are now looking for investment solutions that offer opportunities combined with flexibility. Flexi-cap investment is the answer to this need. Flexi-cap investment is not restricted to either large-cap, mid-cap, or small-cap segments. It has the flexibility to invest in companies across size parameters.

Flexi-cap, at a fundamental level, is a combination of flexibility and discipline. Large-cap, mid-cap, or small-cap corporations may provide stability or growth in a less stable period, depending on their nature, while mid and small-cap corporations may provide better growth in a stable or growing economy. Flexi-cap investing is based on this spectrum of market capitalisation, with the objective to balance risk and reward opportunities.

Importance of flexibility

Market trajectories are not linear.

There are cycles of optimism, volatility, corrections, and recovery. Flexi-cap investing enables a portfolio to be proactively over or underweight in different market segments based on the relative desirability of each. Such flexibility could enable an investor to keep pace with the evolving market trends, rather than being stuck to a particular investing style.

Another major benefit offered by flexi-cap mutual funds is the diversification offered by these investments. By investing in companies which fall in different size categories or in different stages, this type of fund helps avoid overdependence on any market segment. This helps in offsetting risks which can arise out of investments in just large, mid, or small-cap companies.

Navigating market cycles

Each market environment is suited to different segments. While experiencing uncertain market conditions driven by some negative market triggers such as global geopolitics or tight global monetary conditions, large-cap stocks are likely to demonstrate improved risk management and volatility, thereby maintaining market downsides. However, within favourable economic conditions driven by higher growth and improved corporate profitability, mid-and small-cap stocks with robust fundamentals are expected to experience sharp re-rating.

Flexi-cap investing aims to ride out these cycles by varying the extent of investment according to market valuation signals, business cycle indicators, investment sentiment, and

emerging themes. Market valuation indicators are used to make decisions on when markets are more overvalued and when the markets are relatively more underpriced.

A mix of top-down and bottom-up approach

The last characteristic that differentiates flexi-cap funds as an investment strategy is its dual stocks selection methodology. On one hand, the top-down methodology concentrates on overall trends and policies related to economy and inflation trends to zero in on the appropriate sectors and specifically on large companies. On the other hand, the bottom-up methodology analyses companies on the basis of overall growth potential and past trends.

Such an approach can enable investors to tap into macro views while also leveraging opportunities from the companies' perspective, leading to an overall well-informed process of portfolio construction.

Supporting long-term goals

Equity investing has traditionally been very important for wealth creation over the long term, offering the investor possibilities for generating gains through capital appreciation and staying ahead of inflation. A flexi-cap investing strategy extends this advantage by introducing the aspect of flexibility.

Accordingly, a flexi-cap fund provides a dynamic approach for investors with a long-term horizon to navigate through uncertainties while remaining invested in the opportunities that equity markets have to yield.